QKM EARNINGS REPORT

Westrock Coffee Company [WEST] — May 21, 2026

I have been marinating on this WEST quarter for a few weeks. I did not want to simply dismiss the price action and reflexively jump to the conclusion that the market is wrong, but after some reflection—and forensic accounting—that is indeed the conclusion I have come to. Hailed as the quarter where three years of investment is finally bearing fruit, Scott Ford thanked his country club investment group for incinerating hundreds of millions into this folly and took a little poke at the shorts. What Ford did not discuss was the $23.9 million commodity hedge benefit that rolled into gross profit, accounting for 93% of this quarter's EBITDA.

Cash flow hedges are not new to Westrock. They are a normal part of their commodity hedging operations, but, if you look at their history, the size of the hedges put on over the last year and the benefit from the rapid increase in coffee prices were significant outliers. In fact, if I didn't know better, I would say management made a speculative bet on falling coffee prices.

Regardless of the how and why Westrock came into such good fortune, it is unlikely to repeat. The estimated losses expected to roll through the hedge book over the next twelve months are $24.1 million. It is not a guarantee that these losses will hit, but it is significant headwind that will be difficult to paper over absent another spike in coffee prices and a little luck.

What does it mean? It means that this quarter was an outlier and a fortuitous one at that. Westrock has $352 million in debt that goes current in August and an aggressive covenant step-down schedule. I think management needed to show improving profits and a strong stock price to assist in refinancing discussions and to make an inevitable equity raise more palatable. That might release the near term balance sheet pressure, but it doesn't change the fact that WEST is likely to miss full year EBITDA. WEST remains a high conviction short. Price target $1.00.

JUST IN THE KNICK OF TIME

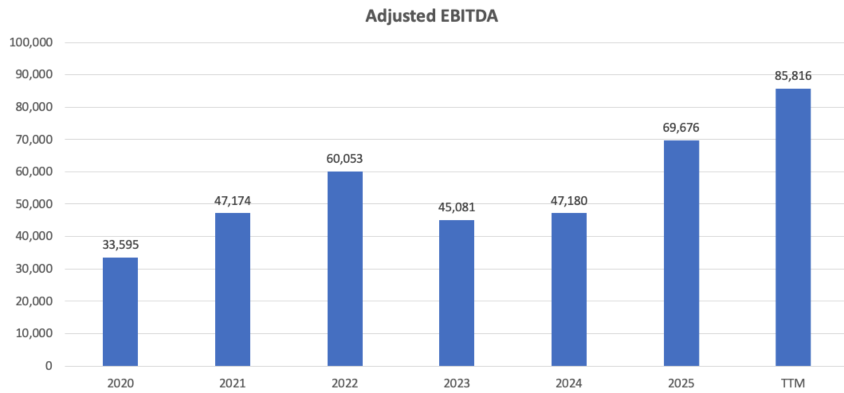
Westrock reported first quarter sales and EBITDA of $308.8 million and $25.9 million, up 44% and 215%, respectively. And that includes a $4.6 million gain from the expiration of the Peet's contract.

It would be an understatement to say that Scott Ford needed this quarter. He has spent the last three telling investors that Conway's capacity was completely booked only to continually delay and pull down guidance. To give some perspective, the original plan way back in 2022 was to spend $290 million on Conway, open up in 2024 and be producing an incremental $120 million in EBITDA on top of the $70 million in base business.

> Turning to our extract and ready-to-drink facility in Conway, Arkansas. We originally planned to build this facility in phases with Phase 1 costing between $180 million to $190 million in CapEx and generating between $50 million and $60 million of adjusted EBITDA once we are operating at planned capacity. By investing the additional equity capital we raised in our SPAC merger and improving our working capital utilization, we're able to pull forward into Phase 1 the enhanced extraction and solubles capabilities and the additional packaging lines we had planned to install as part of Phase 2. This bringing forward of Phase 2 will cost an additional $90 million to $100 million in CapEx and should generate incremental adjusted EBITDA in a range similar to our original expectations for Phase 1.

Source: WEST 3Q2022 Conference Call

Fast forward to today, and trailing twelve month EBITDA was only $85.6 million. And as we will soon discuss, it was actually $61.7 million if you exclude the outsized $23.9 million hedging gain in the first quarter.



Having blown the budget and producing no more EBITDA than before Conway was built, the balance sheet is severely stressed. Management claims leverage is only 3.45 times, but if you include the preferred, the converts (which are way out of the money) and the working capital financing, total leverage (including the hedging gain in the first quarter) is over 10 times. And WEST faces near term headwinds. The revolver, term loan and delay draw term loan ($351.6 million in all) go current in August. As disclosed in the 10Q, management is currently working on refinancing.

Additionally, under the covenant relief period, the max net leverage ratio steps down from five and a half to four times by the end of the year. If the bank tightens the screws on permissible credit agreement adjustments (currently $12 million), WEST will be bumping against the covenant if they fail again to meet estimates.

(Thousands, except leverage ratio)		Trailing Twelve-Months
Beverage Solutions Segment Adjusted EBITDA	$	82,172
Permissible credit agreement adjustments[1]		12,527
Trailing Twelve-Months Credit Agreement Adjusted EBITDA	$	94,699
End of period:		
Term loan facility	$	142,188
Delayed draw term loan facility		44,375
Revolving credit facility		165,000
Letters of credit outstanding		1,980
Secured debt		353,543
Beverage Solutions unrestricted cash and cash equivalents		(26,771)
Secured net debt	$	326,772
Beverage Solutions Credit Agreement secured net leverage ratio		**3.45x**

(1) Consists primarily of pro forma run-rate impact of cost savings initiatives, as permitted by the Credit Agreement.

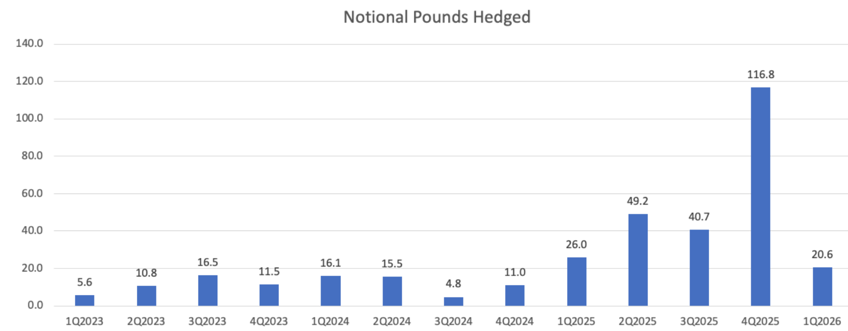
Source: WEST 1Q2026 10Q

And based on my analysis of the hedge book, I think that the tailwind created by rising coffee prices throughout 2024 and 2025 has turned into a significant headwind.

WESTROCK'S HEDGING OPERATION

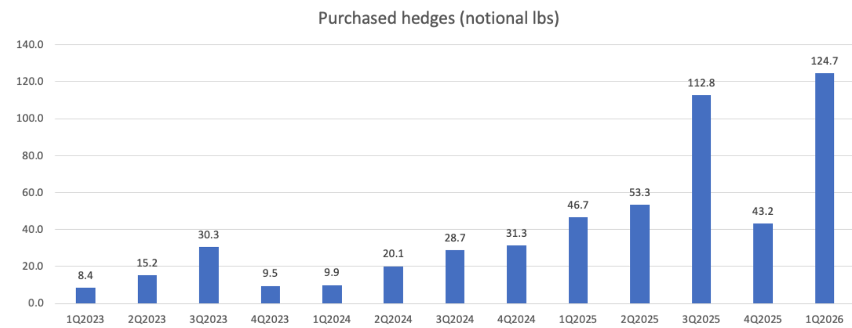
Westrock's Beverage Solutions segment uses coffee futures, swaps and options to hedge green coffee purchases under price-to-be-fixed supplier contracts, where volumes are committed but the final price is later set against the C price. The accounting under ASC 815 flows mark-to-market gains and losses through to AOCI until the physical coffee is purchased, processed and sold. At that point, the accumulated hedge gain or loss is reclassified into cost of sales.

Until last year, the hedge book was relatively small. In any given quarter, the exposure was around 15 million pounds. But that began to creep up in the first quarter of 2025.

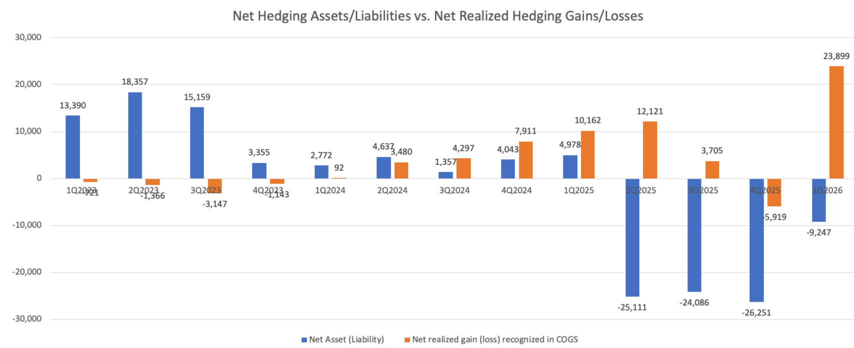


I can make sense of this because Westrock had won the Peet's single-serve deal, and they were likely beginning to contract out for the volumes that were scheduled to come in the second half of 2025. But then Keurig announced the acquisition of Peet's and Westrock knew it was likely to lose the contract, so it appears as if the decline in the third quarter notional exposure tracked the expectation to lose the deal.

What I can't make sense of is the fourth quarter spike to $117 million in notional exposure. You can see in the chart above how much of an outlier this spike was. And if you look at the actual purchasing in each quarter, WEST continued to purchases hedges well above normal into the first quarter before closing the contracts.



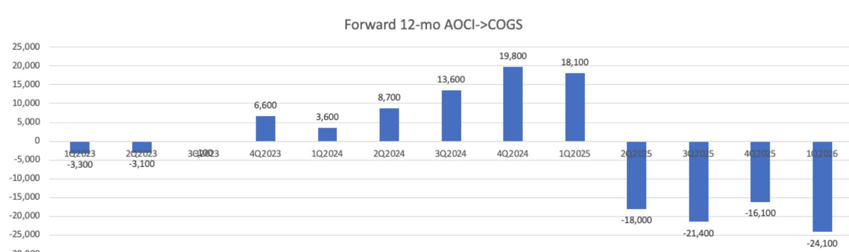
But here is where it gets really interesting. WEST discloses the net asset or liability of its hedges and you can see there is a lagged correlation. This is what you would expect. Since the hedges last three to twelve months, net hedging assets eventually turn into net realized hedging gains, but when the hedging assets turned into net liabilities, a few quarters later WEST started to realize net losses. That is until the outsized gain in the first quarter.



Before looking at the first quarter gain, let's look at why the hedging assets turned into liabilities. Beginning in 2024, coffee prices began a record run to all time highs.

Source: Trading Economics

And as seen above, WEST really began to increase its hedging purchases in the back half of 2024 and continued through the third quarter of 2025. While the price of coffee was moving up, these hedges had net gains. But as pricing began to roll over, the hedges purchased at the top of the market turned into net losses. This is evident in the asset to liability change that occurred in the second quarter of 2025. But you can also see it in the shift in the expected gains/loss position that will roll through cost of goods sold over the next twelve months.



So the question then becomes, if the hedging had turned against WEST and in the fourth quarter the next twelve month expectation was for a loss of $16.1 million, how did WEST post a $24.1 million hedging gain in the first quarter?

The truth is that there is not enough granularity in the disclosures to tell exactly what happened. But I can make an educated guess. If you look at the make up of the hedge book, WEST had a $17.9 million option liability in the fourth quarter. Prior to this the use of options was small or non existent. For an option to be a liability they must have sold exposure in one form or another. I will not guess the make up of the contracts, but if they sold options and collected premium of $17.9 million that paid off, that would explain most of the gains.

	1Q2023	2Q2023	3Q2023	4Q2023	1Q2024	2Q2024	3Q2024	4Q2024	1Q2025	2Q2025	3Q2025	4Q2025	1Q2026
Derivative Assets													
Coffee Futures	13,390	18,357	15,159	3,355	2,772	3,925	1,143	3,815	6,070	0	0	0	0
Options	0	0	0	0	0	712	214	228	-1,092	0	0	0	1,606
Total Derivative Assets	**13,390**	**18,357**	**15,159**	**3,355**	**2,772**	**4,637**	**1,357**	**4,043**	**4,978**	**0**	**0**	**0**	**1,606**
Derivative Liabilities													
Coffee Futures	0	0	0	0	0	0	0	0	0	23,316	23,180	110	252
Commodity Swaps	0	0	0	0	0	0	0	0	0	0	0	8,235	9,438
Options	0	0	0	0	0	0	0	0	0	1,795	906	17,906	1,163
Total Derivative Liabilities	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**25,111**	**24,086**	**26,251**	**10,853**
Net Asset (Liability)	**13,390**	**18,357**	**15,159**	**3,355**	**2,772**	**4,637**	**1,357**	**4,043**	**4,978**	**-25,111**	**-24,086**	**-26,251**	**-9,247**

However the gain came to be, it is unlikely to repeat. First, they just don't have the same notional exposure that they did in 2025. Second, to have large gains WEST not only needs exposure but it needs coffee prices to move in its favor.

And if the gain was largely premium collection on options contracts, then WEST should actually start to see expected losses roll through the P&L throughout 2025, and if they have to absorb anywhere close to the $24.1 million losses that are currently projected, they will actually have to hit $114 million to $124 million in EBITDA to meet guidance.

CONCLUSION

I have followed Westrock closely for over three years, and while it is not impossible that the company has finally hit its stride, the years of unkept promises and shifting narrative make it highly improbable. Even if they did hit their guidance, the stock still trades at seventeen and a half times EBITDA. That's a lofty multiple for a co-packer of k-cups, seltzer water and (supposedly) RTD coffee.

But I don't think they will hit guidance. The first quarter EBITDA was nearly all hedging gains that are unlikely to repeat. What is more likely is an equity raise as part of a larger debt refinancing followed by more sad quarters. WEST remains a high conviction short. Price target $1.00.

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